

HSBC Holdings plc (0005)

Singapore Life Sale Looks Financially Sensible; Buyback Upside in FY27E

HSBC has announced it will sell 100% of HSBC Life Singapore to Allianz for US\$2.1bn, implying a valuation of c.1.55x HSBC Life Singapore's FY25 comprehensive equity. We view this as a sensible move from a financial perspective, as HSBC Life Singapore contributed only 0.2% of HSBC Group clean PBT in FY25, while the disposal gain of US\$1.8bn upon completion would lift FY27 Group clean PBT by ~4% and increase the CET1 ratio by 15bps, on our estimate, potentially pointing to upside risk to share buybacks in FY27. From a strategic perspective, as HSBC will enter into a 15-year bancassurance agreement with Allianz post-transaction, we believe there should be limited disruption to its Singapore banking services. On the other hand, while HSBC Life Singapore is the No.1 insurer for high-net-worth (HNW) clients in Singapore, its overall share of the Singapore life insurance market is only 6%, and we see potential margin pressure from competition. We reiterate our OW rating on HSBC.

- **What's been announced?** HSBC has agreed to sell 100% of HSBC Life Singapore to Allianz for S\$2.7bn, or US\$2.1bn, subject to regulatory approval, with completion expected in 1H27. Upon completion, HSBC Singapore will enter into a 15-year exclusive bancassurance distribution agreement with Allianz, allowing HSBC to continue offering insurance products to its retail and wealth management clients in Singapore, for an initial fee of US\$0.2bn ([link](#)).
- **Financial impact on HSBC:** HSBC expects to recognize a US\$1.8bn pre-tax disposal gain upon completion, to be categorized as a material notable item, with no material tax impact expected. The transaction is also expected to increase the Group's CET1 ratio by up to 15bps upon completion. HSBC reaffirmed its commitment to Singapore, highlighting that Singapore remains critical to HSBC's strategy and is a key focus for investment and growth for the Group.
- **Introduction to HSBC Life Singapore.** HSBC provides life and health insurance in Singapore. HSBC Life Singapore held around 6% of Singapore's life insurance market share in 2025, based on Life Insurance Association Singapore industry data. In FY25, its comprehensive equity was US\$1.4bn; it generated S\$678mn, or ~US\$526mn, of insurance revenue and S\$118mn, or ~US\$90mn, of PBT, equivalent to around 0.7% of HSBC Group revenue and 0.2% of clean PBT. Its contribution to HSBC's insurance franchise was more meaningful, representing ~9% of the Group's US\$14.6bn insurance manufacturing CSM balance.

JPM view: This is not a complete surprise, as Bloomberg ([link](#)) reported on a potential sale in January this year. We see this as a positive move for the following reasons. 1) As HSBC will become a distribution channel for Allianz, the disposal should not have any meaningful impact

Overweight

0005.HK, 5 HK

Price: HK\$161.50

23 Jul 2026

Price Target: HK\$200.00

PT End Date: 31 Dec 2027

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on business operations from a client-servicing perspective. **2)** The deal is financially lucrative, with a US\$1.8bn disposal gain expected at completion, equivalent to 4% of PBT and 5% of net profit based on JPM FY27 estimates. The implied valuation of the consideration, at US\$2.1bn, is 1.55x FY25 comprehensive equity. By comparison, when HSBC Life announced the acquisition of AXA Singapore in 2021, the implied valuation was 1.2x trailing net assets ([link](#), [link](#)). **3)** While some investors may question why HSBC would dispose of HSBC Life given its position as the No.1 insurer in Singapore for HNW individuals, we view this as a sensible move. HSBC Life has a 6% market share, and we estimate it ranks around 5th to 7th in Singapore overall. As a mid-sized player, it may need to accept lower margins in order to compete with key players such as Great Eastern, AIA, Prudential and Manulife. **4)** As the deal will lift the CET1 ratio upon completion, we see potential upside risk to our 2027 total return estimate via share buybacks.

Table 1: Summary of HSBC SG Life's key financials

(SGD mn)	2024	2025	YoY
Insurance revenue	535.7	678.4	27%
Insurance service expenses	-428.3	-424.8	-1%
Net (expenses)/income for reinsurance contracts	5.4	-30.9	-671%
Insurance service result	112.9	222.7	97%
Interest revenue	267.0	273.5	2%
Other investment gains	488.8	757.6	55%
Net investment income	755.9	1,031.1	36%
Net finance expenses from insurance contracts issued	-816.0	-1,018.3	25%
Net finance (expenses)/income from reinsurance contracts held	70.1	-4.3	-106%
Net insurance finance expenses	-745.9	-1,022.6	37%
Other operating income	21.0	25.1	20%
Other operating expenses	-135.5	-138.6	2%
Profit before tax	8.4	117.6	1305%
Income tax expense	-0.8	-1.0	39%
Profit for the year	7.6	116.6	1431%
Total comprehensive income for the year	7.6	116.6	1431%
Financial assets	11,780	12,789	9%
Total assets	12,230	13,385	9%
Insurance contract liabilities	11,177	12,268	10%
Total liabilities	11,883	12,924	9%
Total equity*	346	461	33%
ROA	0.1%	0.9%	0.8%
ROE	2.2%	28.9%	26.7%

Note: total equity is different from comprehensive equity (IFRS17 equity + net CSM), which was EUR1.2bn or SGD1.8bn at end 2025 for HSBC Life SG, according to Allianz's announcement ([link](#)).
Source: Company reports.

Investment Thesis

HSBC's self-help programs in the past decade have lifted normalized and through-the-cycle RoTE from 8% to 17%. This means that the adjusted dividend yield (including share buybacks [SBB]) will stay at ~8% after the rate cycle, on our estimates. Despite a three-quarter suspension in buybacks due to the HSB privatization, we estimate HSBC's 2026-28 total shareholder return yield at 6-8% each year, the highest in our bank sector coverage in the Greater China region. We see declines in revenue in the medium term as a result of business disposals as well as rate cuts and loan growth also under pressure, but fee income will likely provide some support, given strong momentum in Transaction Banking and Wealth. The group's restructuring plan could benefit on the cost side, depending on scale. We expect 2026/27/28 RoTE (excluding notable items) to be 18.2%/18.7%/18.8%, broadly in line with HSBC's above-17% guidance. We rate HSBC Overweight.

Valuation

Our Dec-27 PT of HK\$200 is based on our DDM analysis, with NAV discounted back to Dec-27 from 2028E and a fair P/B of 2.1x. Our key assumptions are a normalized ROE of 16.3%, long-term growth rate of 2.4% and cost of capital of 9.1%.

Risks to Rating and Price Target

Key downside risks to our rating and price target include:

- **Macroeconomic risks:** HSBC is exposed to GDP growth in Hong Kong SAR, Mainland China and the UK, as well as FX and cross-border/political risks, which could pose downside risks. Similarly, the global interest rate and inflation outlook could impact group margins, which may differ from our expectations.
- **EM outlook:** We expect the asset quality outlook to deteriorate and forecast CoR growth above normalized levels in the medium term – although we see both upside and downside risks to this. This includes specific areas such as China CRE, where the group has a large unsecured exposure, and Hong Kong CRE, where the portfolio has seen sharp deterioration.
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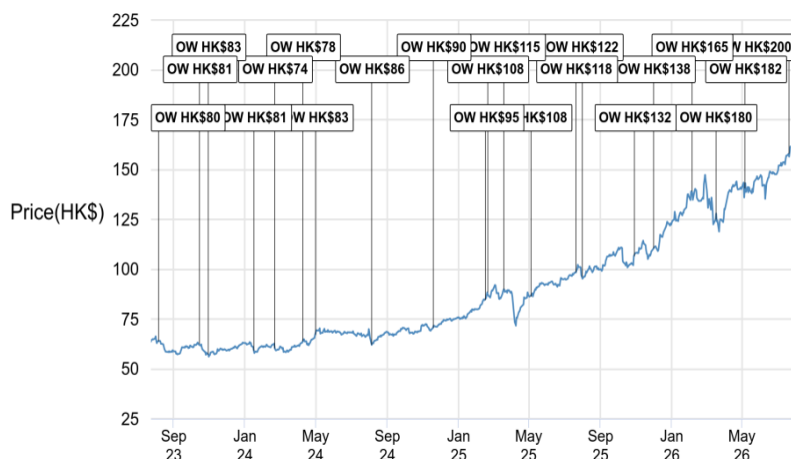
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HSBC Holdings plc (0005) (0005.HK, 5 HK) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Dec 31, 2000. All share prices are as of market close on the previous business day.

Date	Rating	Price (HK\$)	Price Target (HK\$)
07-Aug-23	OW	63.85	80
16-Oct-23	OW	62.50	81
31-Oct-23	OW	57.20	83
17-Jan-24	OW	59.10	81
22-Feb-24	OW	60.25	74
10-Apr-24	OW	63.90	78
02-May-24	OW	67.00	83
06-Aug-24	OW	62.05	86
19-Nov-24	OW	70.55	90
17-Feb-25	OW	84.50	95
20-Feb-25	OW	88.40	108
20-Mar-25	OW	89.75	115
05-May-25	OW	86.20	108
22-Jul-25	OW	98.45	118
01-Aug-25	OW	96.15	122
30-Oct-25	OW	106.50	132
02-Dec-25	OW	110.50	138
05-Feb-26	OW	139.00	165
18-Mar-26	OW	124.80	180
07-May-26	OW	140.50	182
21-Jul-26	OW	157.80	200

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